

THE VARANASI AIRBNB MARKET PLAYBOOK

What the top 10% of Airbnb hosts in Varanasi do differently.
Market data. Competition analysis. Real economics.

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Data Sources: Airbtics, AirROI, AirDNA, 99acres, Booking.com, UP Tourism Dept

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1. The Market Reality

Varanasi is India's fastest-growing tourism destination. But the Airbnb market here is not what most people assume.

Tourism Scale

Metric	Data
Total tourists (2024)	11 crore (+18.7% YoY)
Foreign tourists (2024)	3,09,932
Foreign tourists (2022)	83,741 (3.7x growth in 2 years)
Foreign tourists H1 2025	1,87,922 (on pace for 3.75L+)
Hotels at 80%+ occupancy	Year-round, even in lean months
Daily floating population	5-6 lakh visitors per day

Airbnb Market Snapshot (Triangulated from 3 Sources)

Metric	Airbtics	AirROI	AirDNA
Active listings	1,175	745	2,337 (all platforms)
Occupancy	39%	29.4%	28%
Avg nightly rate	Rs 2,837	Rs 3,900	Rs 3,340
Annual revenue	Rs 4.1L	Rs 2.6L	Rs 1.6L/month
Supply growth	+66.4%	N/A	N/A
Revenue growth	+8.0%	+22%	N/A
Intl guest share	36.6%	N/A	N/A
Market grade	A (top 5%)	N/A	N/A

Airbtics classifies Varanasi as 'Healthy Growth' -- supply and revenue both growing above average. But supply is growing 8x faster than revenue (66% vs 8%). This means more hosts are splitting a slightly bigger pie. The market is expanding, but the per-listing economics are diluting.

The sources show different absolute numbers because they track different platforms, use different 'active listing' definitions, and cover different time windows. The directional story is consistent: moderate occupancy, decent nightly rates, and massive tourism demand relative to supply.

Seasonality

Season	Months	Performance
Peak	Feb, Dec, Mar	45.7% occ, Rs 5,400/mo revenue
Shoulder	Oct, Nov, Jan, Apr	27.2% occ, Rs 3,250/mo revenue
Low	May, Jun, Jul, Aug, Sep	21.8% occ, Rs 2,550/mo revenue

Absolute peak	February	60.2% occ, Rs 6,900/mo revenue
Absolute low	May	19.5% occ, Rs 2,450/mo revenue

May to September is dead season. If your financial model does not account for 5 months of significantly reduced income, it will fail. The top hosts survive this by targeting long-stay guests, offering monthly discounts, and building direct booking channels outside Airbnb.

2. The Competition Landscape

Airbnb is not the default accommodation choice in Varanasi. Hotels dominate. Understanding who you are competing against is critical before entering this market.

Hotel Dominance

Metric	Data
Boutique hotels (5-30 rooms)	319 on Booking.com
Large hotels (30+ rooms)	254 on Booking.com
Total hotels	573 on Booking.com alone
Hotel occupancy	80%+ year-round
Hotel price range	Rs 1,600 - Rs 25,000+/night
Airbnb listings	745-1,175 (depending on source)

Most domestic tourists book hotels through MakeMyTrip, OYO, or Booking.com. They trust the brand, the front desk, and the standardised experience. If your Airbnb listing looks like a budget hotel room with phone photos, tourists will pick the hotel every time. You cannot compete with hotels on their terms.

Hostel Segment

Metric	Data
Active hostels in Varanasi	30+
Price range	Rs 250-1,900/night
Key chains present	Zostel, Moustache, goSTOPS, HosteLaVie
Target customer	International backpackers, solo travellers, Gen Z
India hostel market (2024)	Rs 1,413 crore, growing at 11.6% CAGR

Hostels own the backpacker and solo traveller segment. They compete on volume, community, and price. Trying to undercut hostels with a cheap Airbnb listing is not viable -- they have lower per-bed costs, established brands, and built-in community events that solo travellers value.

Where Airbnb Fits: The Premium Gap

Hotels offer reliability but not uniqueness. Hostels offer price and community but not privacy or luxury. The gap is in premium, differentiated accommodation -- heritage homes, Ganga-view properties, culturally designed spaces that offer what neither hotels nor hostels can. This is where the top Airbnb performers in Varanasi play.

3. What the Top 5 Listings by Revenue Are Doing

These are the five highest-earning Airbnb listings in Varanasi based on verified trailing twelve-month data from AirROI (Feb 2025 - Jan 2026). Every single one plays premium.

Property	Revenue/yr	Occupancy	ADR/night	Type
4BR Ganga House, river view	Rs 43.7L	37.0%	Rs 36,000	Heritage
3BR Arcadian Manor, pvt pool	Rs 23.6L	23.6%	Rs 24,600	Luxury
Gautam Villa, 5BR	Rs 19.4L	37.0%	Rs 13,750	Villa
Pristine by M, 3BR	Rs 17.3L	66.2%	Rs 7,150	Modern
5BR near Ghat & Temple	Rs 16.6L	50.7%	Rs 8,850	Heritage

Top 5 Average vs Market Median

Metric	Top 5 Average	Market Median
Annual revenue	Rs 24.1L	Rs 2.6L
ADR (nightly rate)	Rs 18,070	Rs 3,000
Occupancy	42.9%	29%
Revenue multiplier	9.3x the median	Baseline

What the Top 5 Have in Common

- **Differentiated properties.** Heritage architecture, Ganga views, private pools, large group capacity. None of them look like a standard apartment.
- **Premium pricing.** Rs 7,150 to Rs 36,000 per night. They do not compete on price with hotels. They charge more than most hotels in Varanasi.
- **Moderate occupancy is fine.** Most are at 23-50% occupancy. At their pricing, even 2-3 bookings per week generates strong monthly revenue.

- **They offer what hotels cannot.** A full house for a family. A heritage experience. A private pool. A rooftop with Ganga views. Cultural immersion. These are not hotel features.
- **Professional photography and listings.** Every top listing has high-quality, well-lit photos. Phone photos are a non-starter in the premium segment.

The takeaway is clear. The only viable Airbnb play in Varanasi is premium. The mass segment is dominated by hotels with better distribution and brand trust. The budget segment is dominated by hostels with lower costs and community appeal. The premium segment is wide open and undersupplied.

4. Varanasi Rental Market by Zone

All data from live 99acres listings as of April 2026. These are real properties available for lease right now. You can verify every number on 99acres.com.

Zone 1: Walking Distance to Ghats (0-1 km)

Areas: Nagwa Lanka, Godowlia, Bhelupur, Saket Nagar Colony, Old City

Property Type	Rent Range	Notes
Unfurnished 2BHK	Rs 7,000-12,500/month	Basic, needs full furnishing
Semi-furnished 2BHK	Rs 8,000-16,000/month	Wardrobe, basic kitchen
Fully furnished 2BHK	Rs 15,000-25,000/month	AC, beds, kitchen, ready

Zone 2: Walkable to Ghats (1-3 km)

Areas: Lanka (near BHU), Sundarpur, Ravindrapuri Colony, Susuwahi

Property Type	Rent Range	Notes
Unfurnished 2BHK	Rs 5,500-11,000/month	Cheaper, more options
Semi-furnished 2BHK	Rs 8,000-18,000/month	Near BHU, student area
Fully furnished 2BHK	Rs 11,000-29,000/month	Premium societies available

Zone 3: Further Out (3+ km, auto/cab required)

Areas: Pandeypur, Chandmari, Shivpur, Chittupur, Mahmoorganj

Property Type	Rent Range	Notes
Unfurnished 2BHK	Rs 7,000-10,000/month	Cheapest options
Semi-furnished 2BHK	Rs 8,000-15,000/month	Poor for Airbnb (far from ghats)

Zone 3 is not viable for premium Airbnb. Tourists want ghat access. If you are doing rental arbitrage, Zone 1 is ideal (highest ADR potential) and Zone 2 is acceptable if the property is well-connected and the savings on rent justify the slightly lower nightly rate.

5. Economics Calculator

Two scenarios below. Fill in your own numbers in the blank row. All assumptions are stated explicitly so you can challenge each one.

Scenario A: Premium Heritage Property (3-4 BHK)

Line Item	Amount
Monthly rent (Zone 1, furnished)	Rs 20,000
One-time furnishing/upgrade	Rs 4,00,000
Target ADR	Rs 10,000/night
Target occupancy	35%
Booked nights/month	10.5 nights
Gross monthly revenue	Rs 1,05,000
Airbnb commission (3%)	Rs 3,150
Rent	Rs 20,000
Cleaning/maintenance	Rs 5,000
Utilities/wifi/supplies	Rs 3,000
Monthly profit	Rs 73,850
Annual profit	Rs 8,86,200
Return on capital (Rs 4L)	221%
Break-even on investment	5.4 months

Scenario B: Well-Designed 2BHK Apartment

Line Item	Amount
Monthly rent (Zone 1-2, semi-furn)	Rs 10,000
One-time furnishing/upgrade	Rs 2,00,000
Target ADR	Rs 4,500/night
Target occupancy	40%
Booked nights/month	12 nights
Gross monthly revenue	Rs 54,000

Airbnb commission (3%)	Rs 1,620
Rent	Rs 10,000
Cleaning/maintenance	Rs 3,000
Utilities/wifi/supplies	Rs 2,000
Monthly profit	Rs 37,380
Annual profit	Rs 4,48,560
Return on capital (Rs 2L)	224%
Break-even on investment	5.4 months

These are optimistic scenarios based on top-quartile performance. The median host at 29% occupancy and Rs 3,000/night would earn significantly less. Adjust the occupancy and ADR downward by 20-30% for a conservative estimate. If the numbers do not work at conservative assumptions, do not enter.

Critical assumption: these numbers assume peak + shoulder season performance. During May-September (5 months), revenue will drop 40-50%. Your annual model must account for this. A property that looks profitable at Rs 73,000/month in February might earn Rs 30,000 in July.

6. Risk Factors

Risk	Impact	Likelihood	Mitigation
Seasonality	High -- 5 months of low revenue	Certain	Monthly discount pricing, target long-stay guests, build direct booking channel
Supply oversaturation	Medium -- 66% supply growth	Likely in 18-24 months	Play premium only, not mass. Differentiate on design and experience
Landlord risk	High -- lease termination	Moderate	Written subletting permission, longer lease terms, relationship building
Regulation changes	Medium -- currently lenient	Low in near term	0% of listings currently licensed. Monitor local govt. announcements
Hotel competition	High -- 573 hotels	Ongoing	Do not compete on hotel terms. Offer what they cannot.

Poor execution	Very high -- 3.5x gap	Common	Professional photos, cultural design, dynamic pricing, responsive hosting
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7. The Bottom Line

Varanasi is a genuine Airbnb opportunity. The tourism demand is massive and growing. Foreign visitor growth is accelerating. The market is rated Grade A by Airbtics. The supply-demand gap is real.

But it is not a goldmine for everyone. The gap between the top 10% and the median is 3.5x. The mass segment is dominated by hotels. The budget segment is dominated by hostels. If you enter the middle ground with a generic listing, average photos, and no differentiation strategy, you will underperform.

The winning play is premium. Heritage properties, cultural design, Ganga views, unique experiences. Charge more than hotels, not less. Serve the international traveller who is already searching for you on Airbnb. Build for quality, not quantity.

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Data sources: Airbtics, AirROI, AirDNA, 99acres, Booking.com, UP Tourism Department, Ministry of Tourism

All data verified as of April 2026. Numbers may change. Always verify before investing.